Americans feel worse than the economy says they should. Why?

Short answer: not media bias. High prices, how the survey is done, and what people lived through.

Consumer sentiment before the 2026 midterm elections · AI Applications in Finance · Final project

The economy looks OK. People feel terrible.



83 vs 46.3

'Should be' vs actual, October 2026

2×

the gap is twice as big as in the 2008 financial crisis

44.8

May 2026: lowest reading since the survey began in 1952

What this means: **Official numbers say people should feel fine (~83). They feel near the worst ever (~46).**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

Three possible explanations — we tested all three

1

Real pain the numbers miss

Prices stayed high, loans got expensive, rent and food went up.

Our verdict

Biggest piece

2

Media and psychology

Negative or biased news coverage; how people's minds process shocks.

Our verdict

Media: no. Lived experience: yes.

3

Measurement

The survey changed how it asks; old models miss new kinds of shocks.

Our verdict

Yes, a real part

What this means: **We didn't assume people are irrational or that the news is biased — each explanation had to prove itself with data.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

First, we made sure the data was right

1

Wrong inflation number

The file's inflation column left out food and gas. We used the full number.

2

A number from the future

It included a GDP figure not published until late October. We removed it.

3

Missing month

The 2025 government shutdown meant October 2025 jobs data was never collected.

4

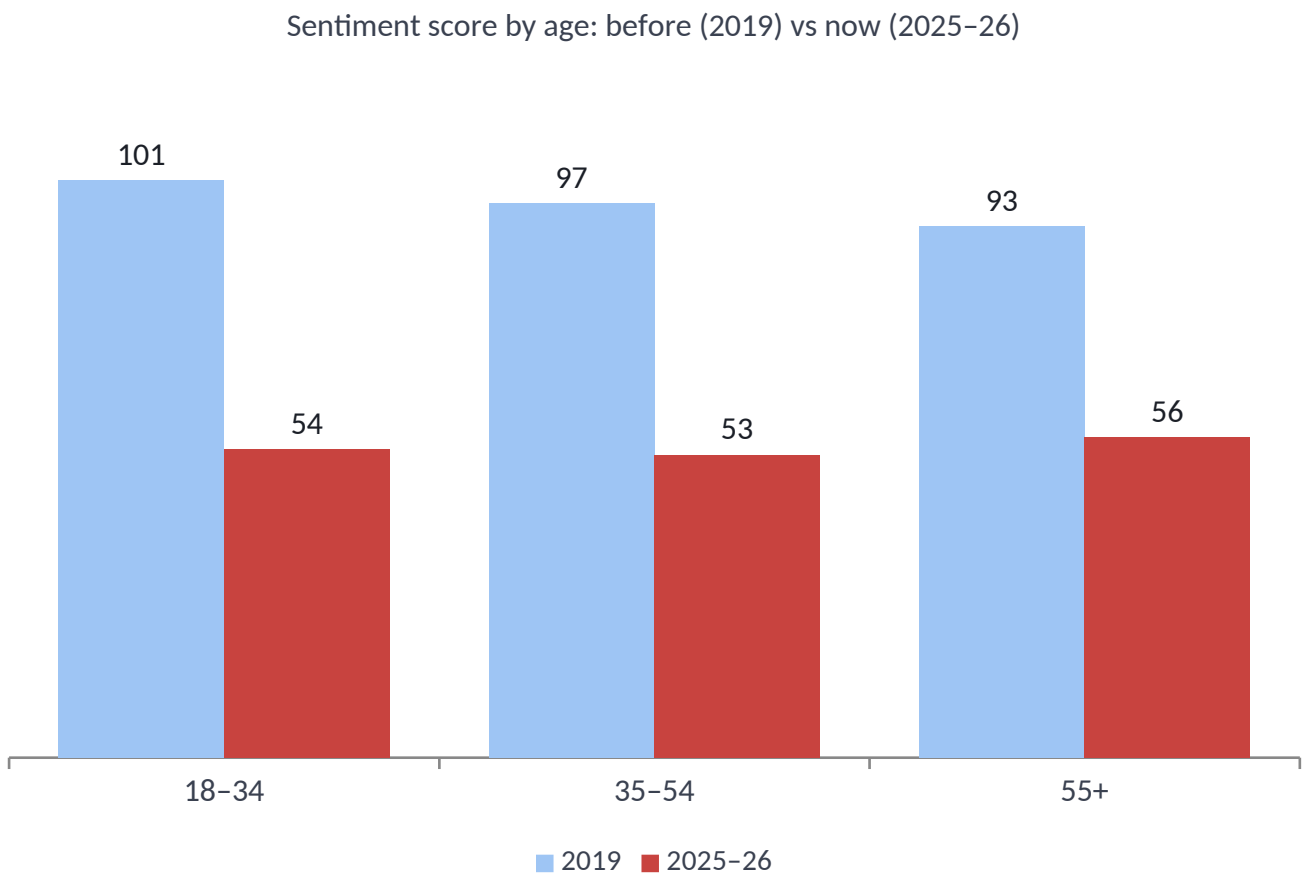
Survey changed

Michigan moved from phone to online in 2024. Online answers are ~6.6 points gloomier.

What this means: **Our rule: only use numbers that were actually available at the time — no hindsight.**

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Who feels worst? Everyone fell — young adults the most



- 18–34: 101 → 54 (fell 47) — went from most optimistic to as gloomy as everyone.
- 55+: 93 → 56 (fell 37) — smallest drop.
- But 55+ is 44% of the national score (young: 22%), so older people still move it most.

How we got this data

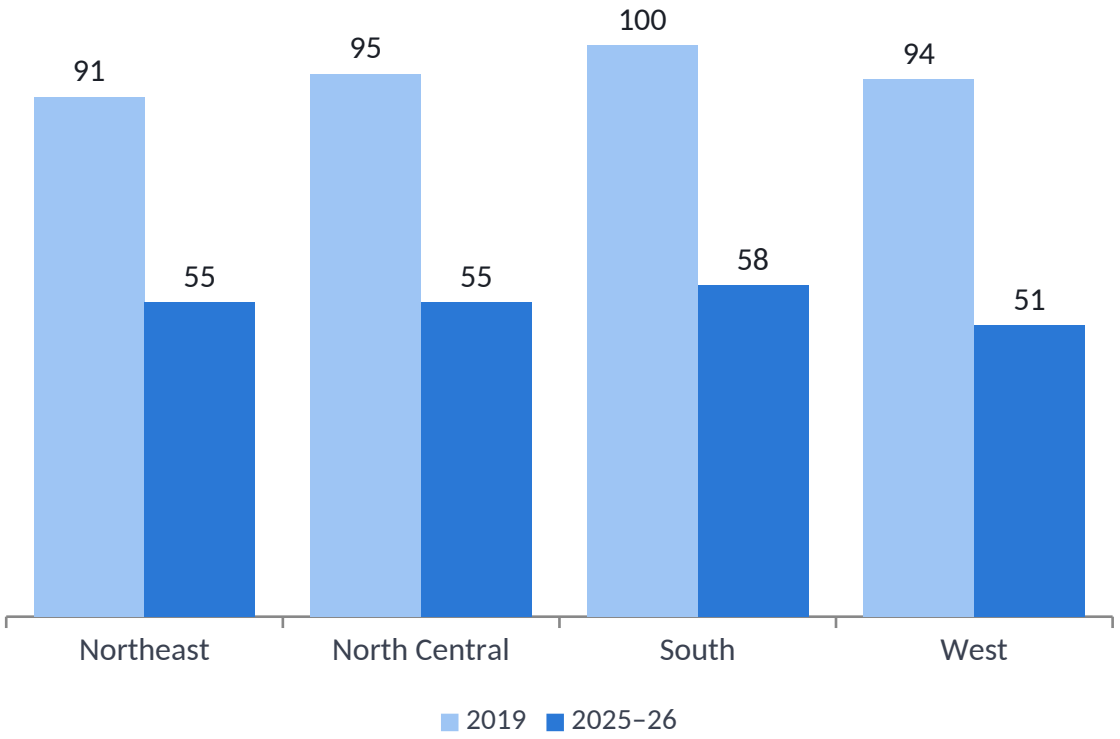
University of Michigan's monthly consumer survey (~1,000 adults a month) publishes the sentiment score separately for each age group. We averaged 2019 vs Jan 2025–Aug 2026. Each group's share of the national score was found by matching the three age scores to the national score, 2015–2026.

What this means: **This isn't one generation's problem — everyone got gloomier; young adults fell furthest.**

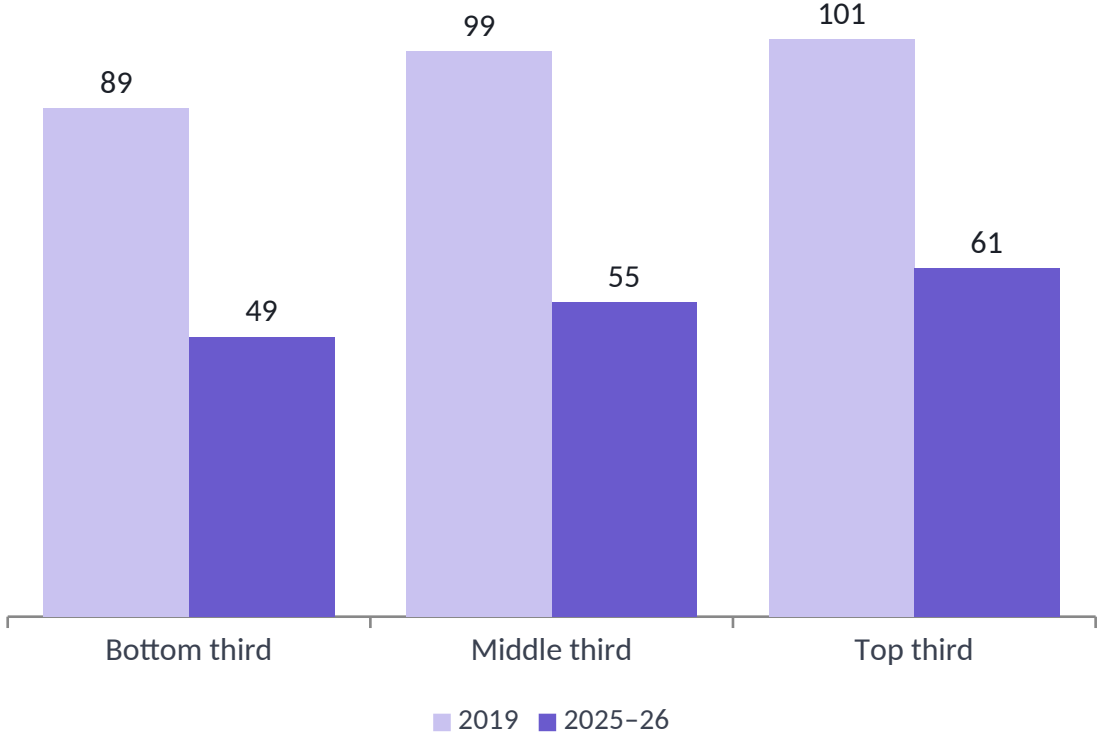
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It's not one part of the country or one income group

By region: before vs now



By income: before vs now



What this means: **Every region and every income level lost about 40 points — a nationwide shock, not a local one.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

Why 'inflation is down' doesn't feel like it

The egg example

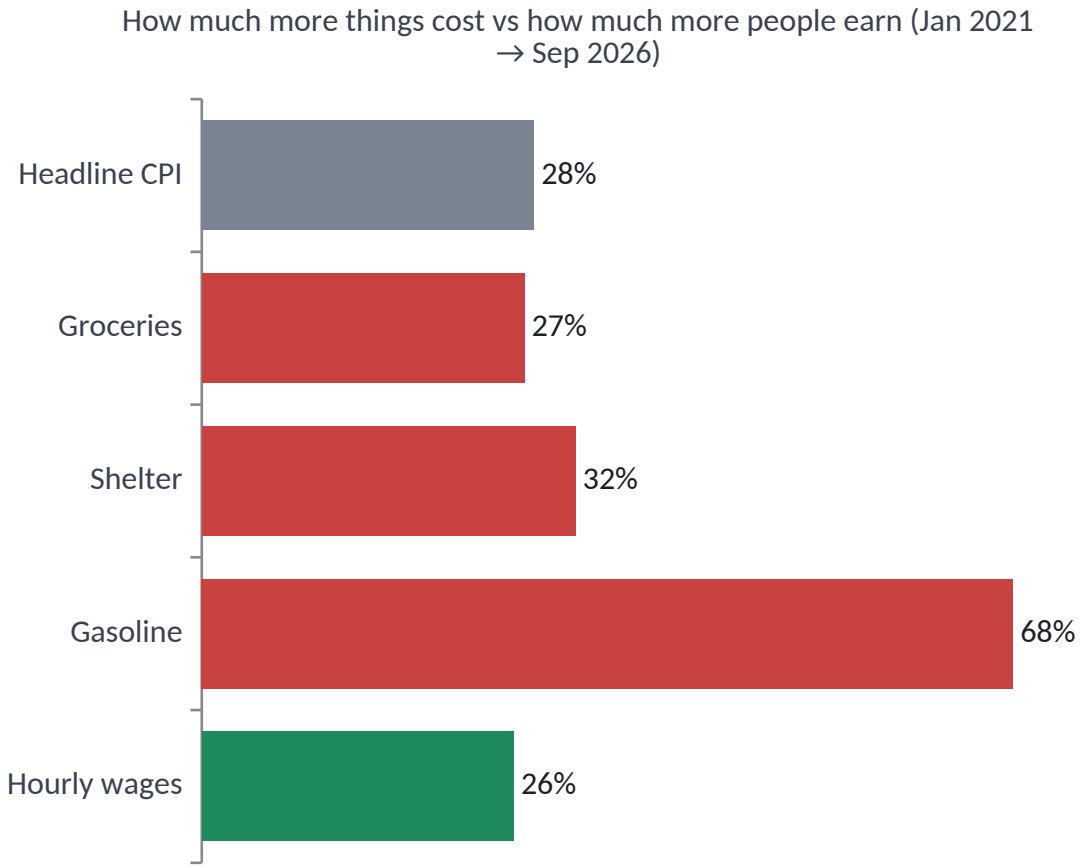
2021: eggs cost $2.

2023: eggs cost $4. Inflation was high.

2026: eggs cost $4.12. The government says inflation is 'low' (3%).

Official inflation measures how fast prices are rising now — not whether they came back down. People remember $2.

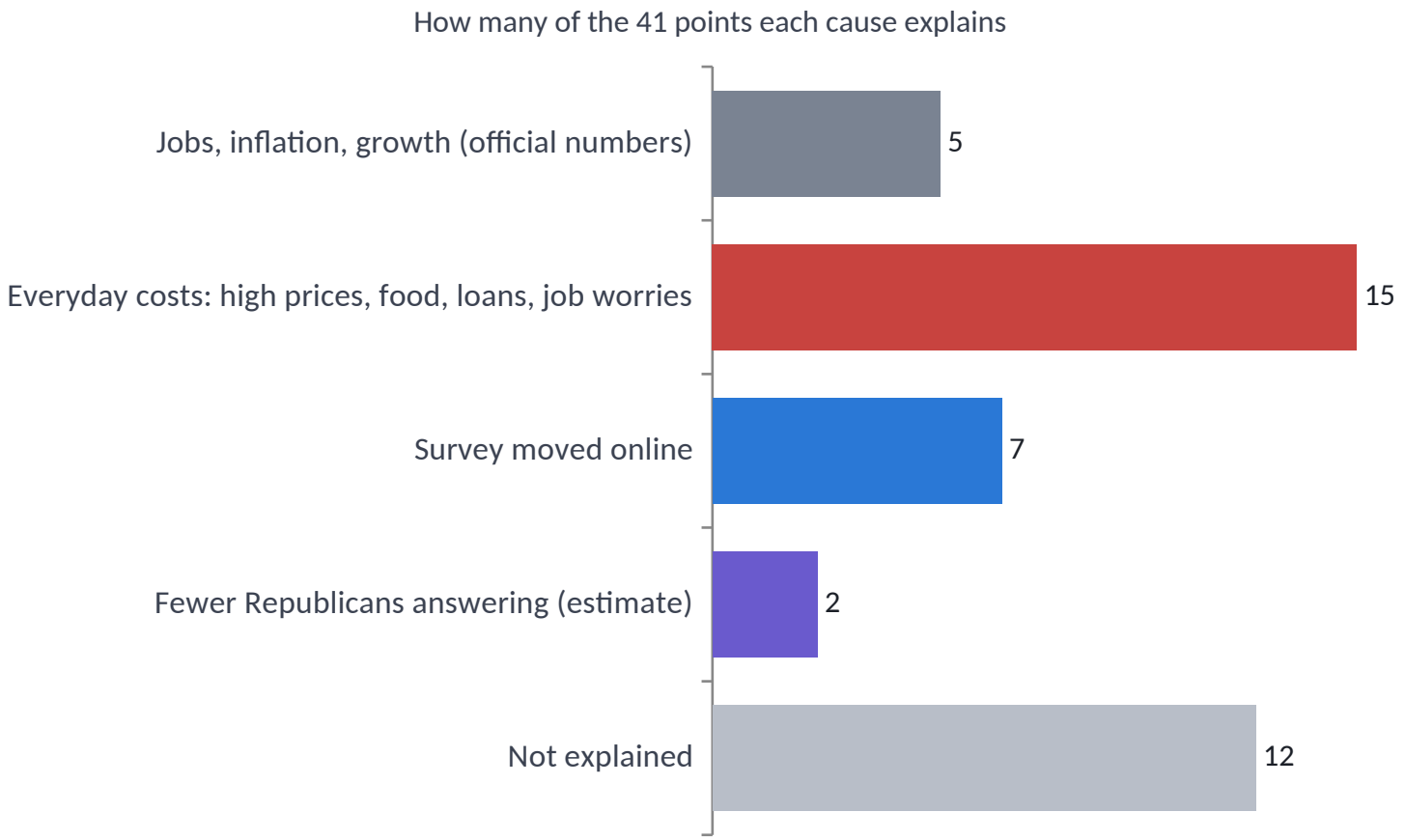
It also leaves out loan costs: a 7% mortgage instead of 3% doesn't count as 'inflation'.



What this means: **Prices up 28%, paychecks up 26% — people aren't imagining it.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

So what explains the 41-point drop since 2019?

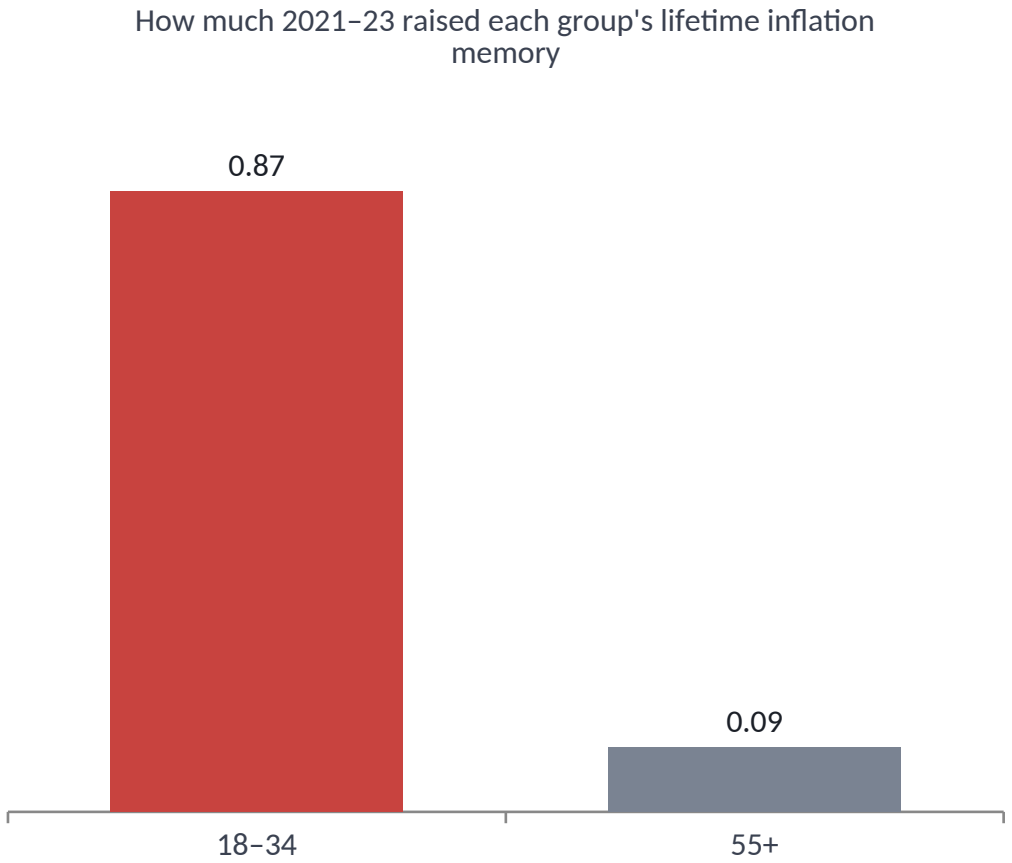


- Official numbers: only 13% of the drop.
- Everyday costs: the biggest piece (36%).
- Survey change: 16%.
- The rest (~12 points) is the most the media could possibly explain.

What this means: **Most of the drop is real everyday pain plus a change in how the survey is done.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

Why young adults fell furthest: it was their first big inflation



The idea

People learn about inflation from what they have lived through. For a 26-year-old, two years of high inflation is a big share of their whole life. For a 66-year-old who lived through the 1970s, it's a small blip.

What we found

The 2021–23 shock raised young adults' inflation memory about 10× more than older adults'.

Young adults fell 10.4 points more than 55+. This effect explains about 8.2 of those 10.4 points.

What this means: **Young people aren't irrational — they're learning from the only big inflation they've ever seen.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

Is the media to blame? How we checked

1 Collected

247k news headlines and social posts, 2010–2026, from 9,515+ outlets

2 Rulebook

Wrote clear rules first: is this good or bad news for households? Is it slanted?

3 AI reader

An AI read every headline. A human checked 300: the AI agreed 70% of the time — better than word lists (43%) or other AI (50%)

4 Fair tests

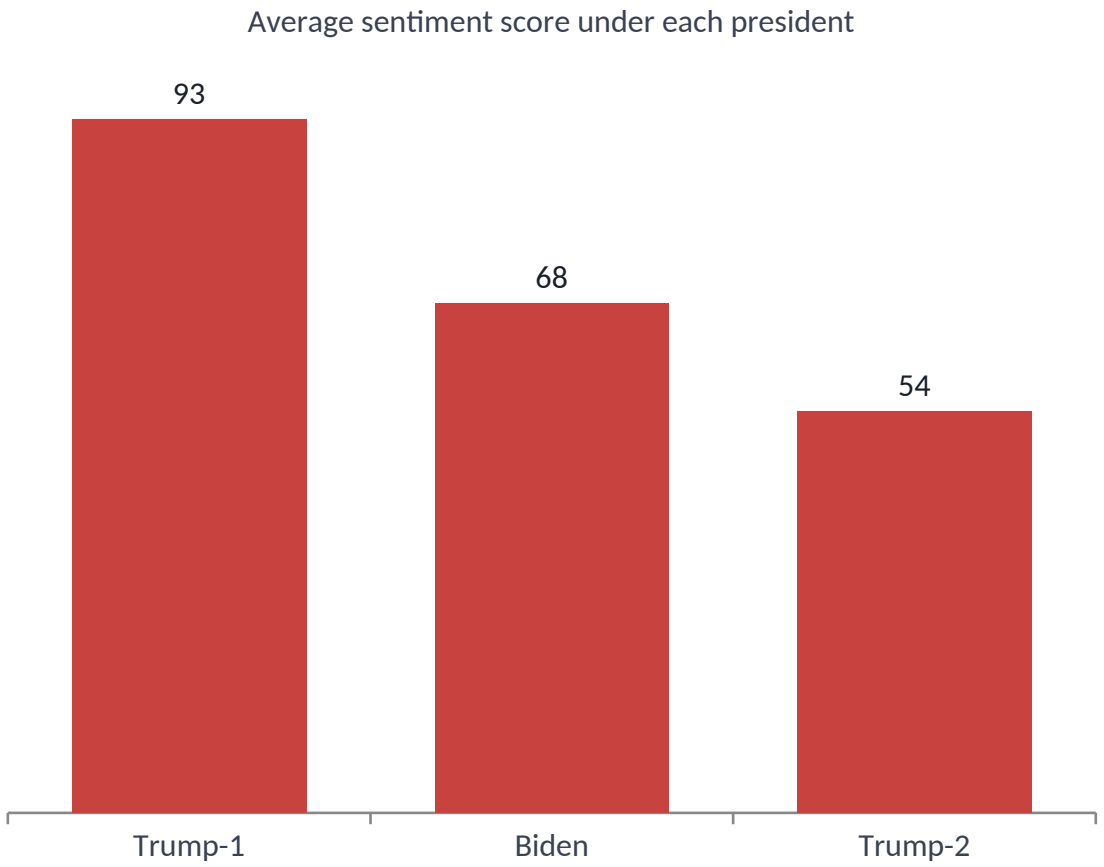
Negative isn't biased if the news is bad. We compared coverage to the real data and to other outlets in the same month

- Yes, there is political slant: right-leaning outlets sound much more negative when a Democrat is president (and vice versa).
- No, the news isn't overly negative: bad news isn't covered more than equally big good news, and 'inflation falling' stories rise when inflation falls.
- Adding news data to our forecast made it 25% worse. Adding everyday-cost data made it 24% better.

What this means: **The news has a political tilt, but it isn't driving the mood — knowing the news doesn't help predict it.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

The test: moods kept falling, but the news didn't get worse



What should have happened if media caused it

Sentiment fell another 14.5 points after January 2025. If the news drove that, news coverage should have turned much more negative.

What actually happened

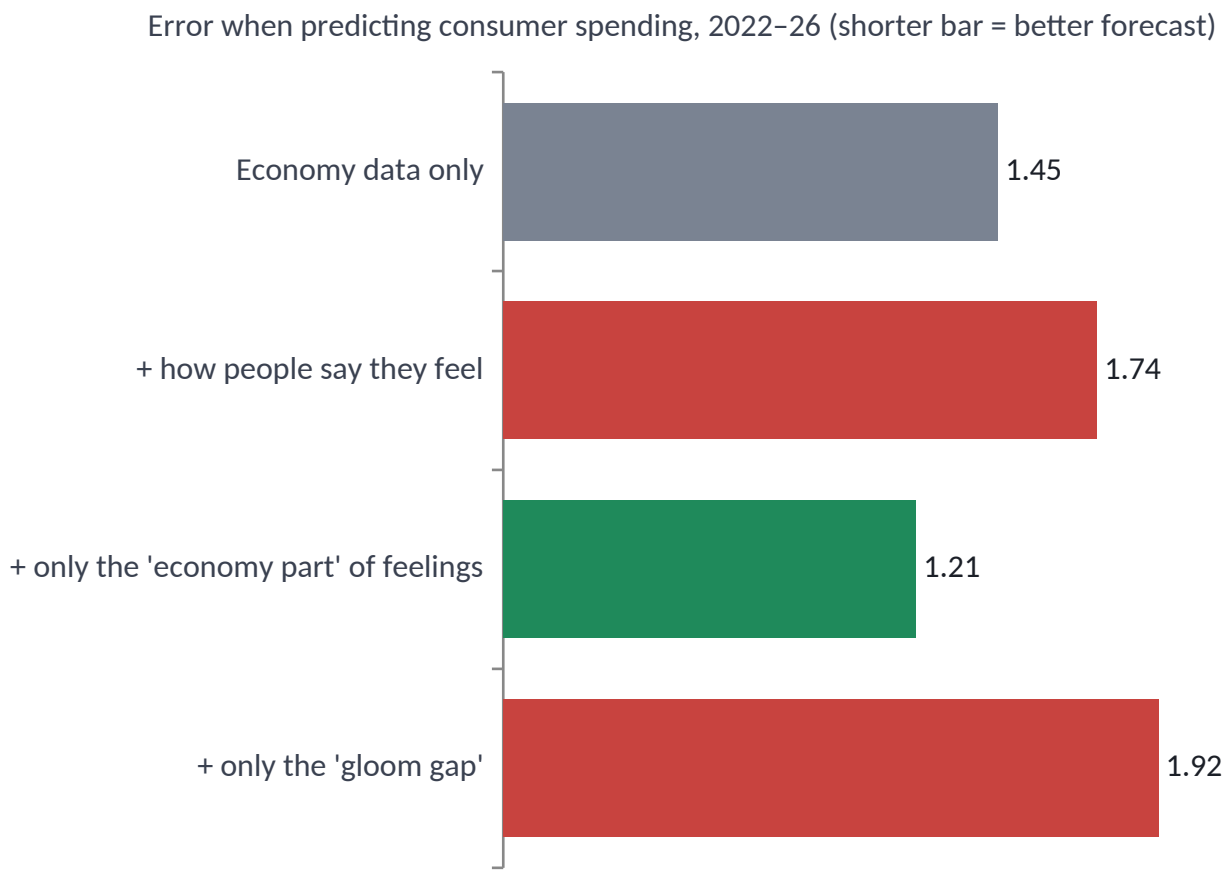
Overall news tone barely changed. Even in the worst case, that change explains about 0.9 point of the 14.5-point drop.

Right-leaning outlets did turn more positive under Trump — slant follows whoever is in power — but the total news mood stayed the same.

What this means: **The news can amplify the mood, but it didn't cause the collapse.**

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What this means for investors and forecasters



The lesson

Since 2022 people said they felt awful — and kept spending about 2.5% more each year.

Using the survey as-is made spending forecasts 20% worse. Using only the part that matches the economy made them 17% better.

So: separate real economic worry from the 'gloom gap' before betting on a recession.

What this means: **Bottom line: high prices, the survey change and lived experience — not media bias — explain the gloom.**

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Thank you

Key takeaway

Americans aren't gloomy because of biased news. Prices stayed high, the survey changed, and young people lived through their first big inflation.

Questions?